Deutsche Bank
Research

Asia
Europe
North America

Consumer Discretionary &
Luxury
Luxury Goods

Industry

DB Luxury 360

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Industry Update

China luxury import: Slower April-May vs. months of 1Q

Do-Hyun Yoo
Research Associate
+44-20-754-19487

Adam Cochrane
Research Analyst
+44-20-754-17812

Andre Juillard
Research Analyst
+33-1-4495-6585

Shwetha Ramachandran
Research Associate

DB view

Luxury imports sequentially declined in 2Q26 (April-May) to -7.2% YoY vs. 5.0% YoY in 1Q26, on simple average terms. Strongest decline was in handbags -11.2% YoY, followed by jewellery -8.6% YoY and -1.9% in watches, all in unit terms. In terms of monthly evolution, all categories were down negative YoY in May, except for watches. Jewellery and watches sequentially improved by +2.3% and +9.8% pts, respectively.

From a macro data perspective, weaker YoY in retail and household wealth points to a discretionary spending environment that is tougher for a gradual cFX sales growth recovery. Home prices remain down YoY at -4.8% vs. -4.9% in April and stock market returns slowed to +14.8% vs. +21% in April. This implies the pace of consumer confidence YoY may slow further (latest available as of April at +1.4% vs. +3.3% during the months of 1Q26), which can act as headwind for the sector recovery in the region.

Summary of 2Q26 data points

Import (in unit YoY terms): Total handbags -11.2% vs. +5.1% in 1Q26; leather handbags -9.8% vs. +2.5%; non-leather -12.4% vs. +7.5%; jewellery -8.6% vs. -6.0% / **Retail**: Apparel & footwear +1.5% vs. +6.5%; Gold, silver & jewellery -17.1% vs. +10.6% / **Wealth:** Nationwide home prices -4.8% vs. -4.9%; SSE HSI avg +17.9% vs. +21.2%.

Summary of May data points

Import (in unit YoY terms): Total handbags -11.1% (-11.2% in Apr); leather handbags -20.6% (+0.9%); non-leather handbags -3.1% (-21.6%); jewellery -7.4% (-9.7%) / Retail: Apparel & footwear +3.8% (+3.6% in Apr); Gold, silver & jewellery -8.9% (-21.3%) / Wealth: Nationwide home prices -4.8% (-4.9% in Apr); SSE HSI avg +14.8% (+21.0%)

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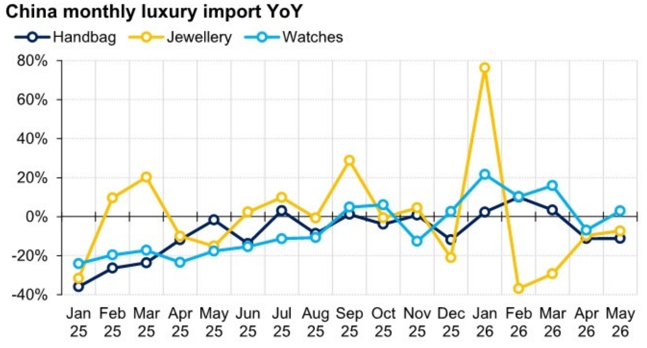
Figure 1:Summary of key datapoints

Category		Apr 25	May 25	Jun 25	Jul 25	Aug 25	Sep 25	Oct 25	Nov 25	Dec 25	Jan 26	Feb 26	Mar 26	Apr 26	May 26	2Q25	3Q25	4Q25	1Q26	2Q26
1. Handbags																				
FRA + ITA total	RMB	-12.6%	+1.5%	-7.9%	+5.5%	-4.9%	+0.9%	-3.4%	+11.6%	-1.8%	+13.1%	+19.7%	+1.2%	+5.6%	-10.4%	-6.5%	+0.6%	+1.9%	+10.9%	-2.7%
(Leather and non leather)	Unit	-11.8%	-1.7%	-13.8%	+3.1%	-8.7%	+1.2%	-3.8%	+0.8%	-11.9%	+2.3%	+10.0%	+3.4%	-11.2%	-11.1%	-9.2%	-1.5%	-5.5%	+5.1%	-11.2%
Leather	RMB	-10.1%	+0.6%	-9.1%	+7.3%	+1.2%	+0.9%	-1.4%	+15.3%	+10.8%	+15.2%	+16.1%	-1.3%	+20.3%	-18.6%	-6.3%	+3.3%	+8.3%	+9.3%	+0.2%
	Unit	-13.5%	-2.6%	-15.8%	+3.9%	+4.8%	+5.9%	+3.7%	+3.6%	-0.7%	+1.5%	-0.4%	+6.4%	+0.9%	-20.6%	-10.8%	+4.8%	+2.1%	+2.5%	-9.8%
Non leather	RMB	-16.0%	+2.9%	-5.9%	+2.9%	-14.1%	+0.9%	-6.8%	+5.9%	-17.2%	+10.2%	+24.4%	+5.4%	-15.4%	+1.2%	-6.8%	-3.3%	-7.4%	+13.3%	-6.8%
	Unit	-10.3%	-0.9%	-12.0%	+2.3%	-20.3%	-3.1%	-11.4%	-1.9%	-20.5%	+3.1%	+19.3%	+0.6%	-21.6%	-3.1%	-7.7%	-7.1%	-12.4%	+7.5%	-12.4%
FRA total	RMB	+0.7%	+15.8%	+1.9%	+8.6%	+8.2%	+0.9%	+1.6%	+8.1%	+6.1%	+14.2%	+37.1%	-12.4%	+11.0%	-10.6%	+6.2%	+6.0%	+5.5%	+9.7%	-0.5%
(Leather and non leather)	Unit	+10.5%	+16.7%	+1.8%	+4.2%	+1.0%	+1.7%	-7.6%	-8.3%	-11.2%	+0.2%	+21.5%	-8.1%	-21.7%	-5.8%	+9.7%	+2.4%	-9.3%	+3.6%	-14.0%
Leather	RMB	-1.9%	+10.6%	-6.7%	+8.9%	+10.3%	+1.9%	+3.6%	+14.6%	+30.7%	+27.0%	+50.8%	-20.4%	+44.4%	-21.3%	+0.9%	+7.1%	+17.0%	+11.2%	+7.3%
	Unit	-8.8%	+7.2%	-12.6%	+5.1%	+14.0%	+11.3%	+4.0%	+0.1%	+13.2%	+11.6%	+26.9%	-12.6%	+15.6%	-15.3%	-4.8%	+9.9%	+6.0%	+5.9%	-1.2%
Non leather	RMB	+3.5%	+24.5%	+16.4%	+8.3%	+4.8%	-0.3%	-1.5%	-1.0%	-19.7%	-0.5%	+24.3%	+1.2%	-24.5%	+4.9%	+13.8%	+4.4%	-9.2%	+7.8%	-10.1%
	Unit	+21.9%	+23.6%	+12.4%	+3.7%	-7.6%	-3.6%	-15.3%	-13.6%	-23.7%	-5.8%	+18.9%	-4.9%	-38.1%	+0.1%	+19.5%	-2.1%	-18.3%	+2.2%	-20.7%
ITA total	RMB	-22.5%	-10.4%	-16.2%	+2.9%	-15.7%	+0.9%	-7.4%	+15.3%	-9.8%	+11.9%	+5.4%	+20.3%	+0.3%	-10.2%	-16.6%	-4.1%	-1.6%	+12.2%	-5.0%
(Leather and non leather)	Unit	-24.5%	-12.3%	-23.2%	+2.3%	-14.2%	+0.8%	-1.3%	+8.3%	-12.4%	+3.9%	+2.2%	+14.2%	-2.5%	-15.2%	-20.2%	-4.0%	-2.7%	+6.3%	-9.0%
Leather	RMB	-15.4%	-8.4%	-11.3%	+6.1%	-7.0%	+0.1%	-5.1%	+16.1%	-6.7%	+4.6%	-5.5%	+25.5%	+2.2%	-15.6%	-11.9%	+0.0%	+0.7%	+7.5%	-6.3%
	Unit	-15.4%	-7.4%	-17.4%	+3.3%	+0.7%	+3.4%	+3.5%	+5.5%	-8.1%	-3.3%	-11.1%	+19.9%	-5.4%	-23.5%	-13.6%	+2.5%	+0.0%	+0.8%	-14.0%
Non leather	RMB	-33.1%	-13.0%	-24.4%	-2.1%	-27.9%	+2.4%	-11.7%	+14.0%	-14.3%	+23.0%	+24.6%	+11.3%	-3.3%	-2.7%	-23.6%	-10.5%	-5.3%	+20.1%	-3.0%
	Unit	-34.7%	-16.9%	-29.7%	+1.1%	-28.9%	-2.6%	-7.8%	+11.9%	-17.0%	+12.2%	+19.9%	+7.3%	+1.6%	-6.2%	-27.1%	-11.4%	-5.9%	+13.2%	-2.7%
2. Jewellery																				
FRA + ITA + CHE	RMB	-23.6%	-1.3%	+14.9%	-8.4%	-29.7%	+14.5%	-7.7%	+12.2%	-10.7%	+45.0%	+5.1%	-5.7%	+35.8%	-6.1%	-1.7%	-10.1%	-3.7%	+12.5%	+12.2%
(Gold, silver, platinum, diamond)	Grams	-10.0%	-15.1%	+2.4%	+9.9%	-0.7%	+28.8%	-0.6%	+4.5%	-21.0%	+76.2%	-36.9%	-29.3%	-9.7%	-7.4%	-7.3%	+11.8%	-6.9%	-6.0%	-8.6%
3. Watches																				
Swiss export to China	CHF	-30.5%	-17.4%	+6.1%	-6.5%	-35.6%	+17.8%	+13.5%	-2.0%	-6.8%	+5.0%	-11.0%	+4.2%	+17.1%	-21.4%	-14.9%	-10.8%	+2.0%	-0.7%	-4.4%
Swiss export to Asia	Unit	-23.4%	-17.6%	-15.4%	-11.3%	-10.7%	+4.9%	+6.1%	-12.6%	+2.6%	+21.6%	+10.2%	+15.9%	-6.9%	+2.9%	-18.9%	-6.3%	-1.9%	+15.9%	-1.9%
4. Macro																				
Consumer confidence	YoY	-0.5%	+1.9%	+2.0%	+3.5%	+4.0%	+4.6%	+2.9%	+4.8%	+3.6%	+3.5%	+3.6%	+2.9%	+1.4%		+1.1%	+4.0%	+3.7%	+3.3%	+1.4%
Nationwide avg. home price[1]	YoY	-5.7%	-5.2%	-4.9%	-4.6%	-4.2%	-4.0%	-4.0%	-4.2%	-4.6%	-4.8%	-4.9%	-5.0%	-4.9%	-4.8%	-5.2%	-4.3%	-4.3%	-4.9%	-4.8%
Tier 1 avg. home price[1]	YoY	-2.6%	-2.2%	-2.2%	-2.2%	-2.2%	-2.0%	-2.6%	-3.6%	-4.3%	-4.8%	-4.9%	-4.8%	-4.5%	-3.8%	-2.3%	-2.1%	-3.5%	-4.8%	-4.1%
Avg. SSE HIS	YoY	+15.1%	+18.6%	+26.0%	+32.2%	+37.6%	+21.7%	+24.0%	+25.0%	+23.1%	+31.0%	+20.7%	+11.9%	+21.0%	+14.8%	+19.9%	+30.5%	+24.0%	+21.2%	+17.9%
Retail sales	YoY	+4.1%	+5.4%	+3.8%	+2.7%	+2.4%	+2.1%	+2.0%	+0.3%	-0.1%		+2.8%	+1.6%	+0.2%	-0.6%	+4.4%	+2.4%	+0.7%	+2.4%	-0.2%
Retail apparel & footwear	YoY	+4.5%	+5.4%	+3.6%	+1.1%	+1.6%	+2.9%	+7.0%	+2.8%	+0.0%		+7.9%	+3.6%	+2.0%	+1.1%	+4.5%	+1.9%	+3.0%	+6.5%	+1.5%
Retail gold, silver & jewellery	YoY	+29.7%	+23.5%	+6.5%	+7.8%	+19.4%	+9.5%	+36.4%	+2.0%	+6.3%		+10.9%	+9.8%	-23.1%	-11.2%	+19.2%	+12.5%	+14.4%	+10.6%	-17.1%

Source : GACC, NBS, Bloomberg Finance LP, Deutsche Bank Research
Note: (1) Average of both primary and secondary prices

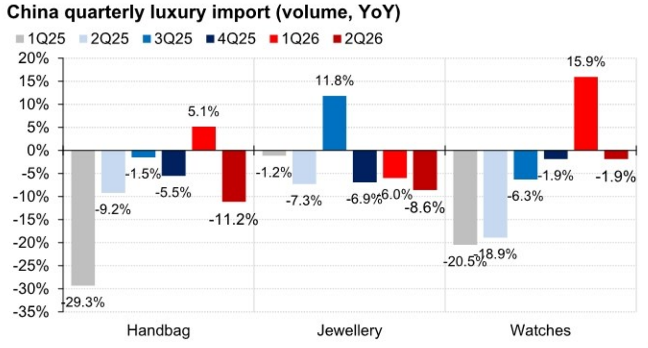
May luxury import highlights

Figure 2: Limited improvement in lux imports YoY



Source : GACC, NBS, Deutsche Bank Research
Note: Mechanical watch import data as per NBS, Marh FHS data to be released on the 21st of April

Figure 3: 1Q YoY improvement momentum did not carry into 2Q



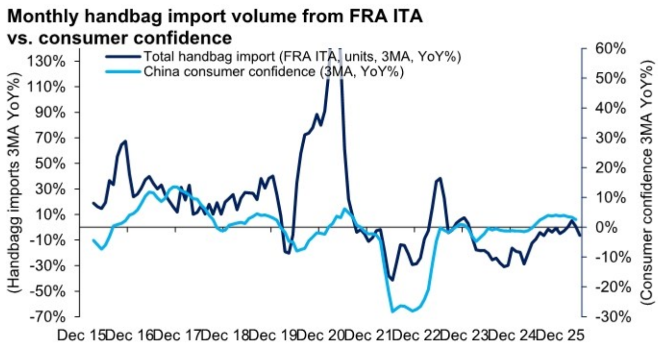
Source : GACC, NBS, Deutsche Bank Research
Note: (1) 2Q26 YoY is based on April-May 2026 vs. April-May 2025

Explanation of data and historical trend analysis vs. sector cFX

We use 8-digit HS codes and trading partner codes to identify the specific products we track. This data is released with a lag (on the 20th of each month) to the preliminary release (typically between the 7th to 14th of each month). Generally, we find that the sum of leather and non-leather handbags a better measure of the broader category demand. Please see below for longer-term trend analysis against relevant sector cFX.

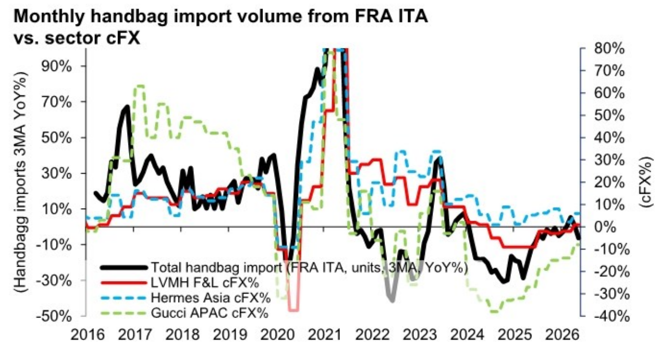
Handbags

Figure 4: Macro set up is not optimal for luxury recovery



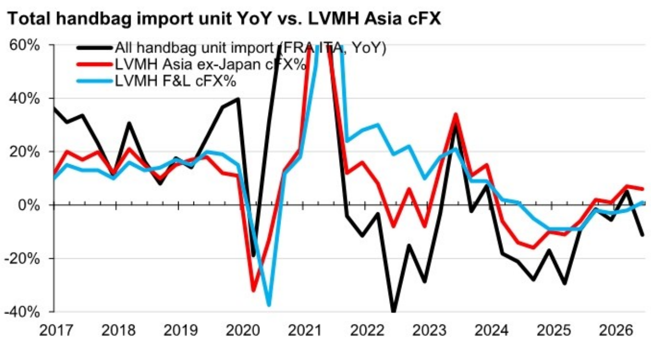
Source : GACC, NBS, Deutsche Bank

Figure 5: May volume import -11.1% in May, -6.3% in 3MA terms



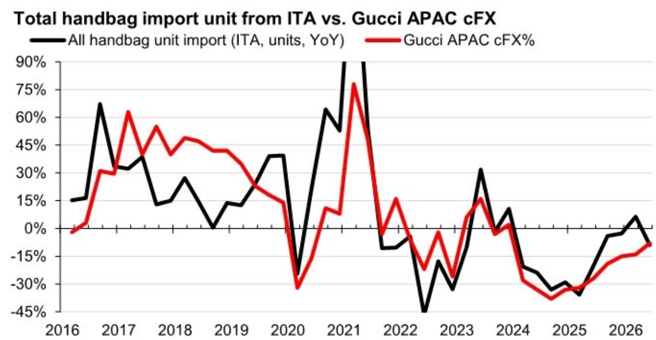
Source : GACC, Company data, Deutsche Bank
Note: This import figure includes both leather and non-leather handbags

Figure 6: April-May 2026 volume import down -11.2% YoY vs. April-May 2025



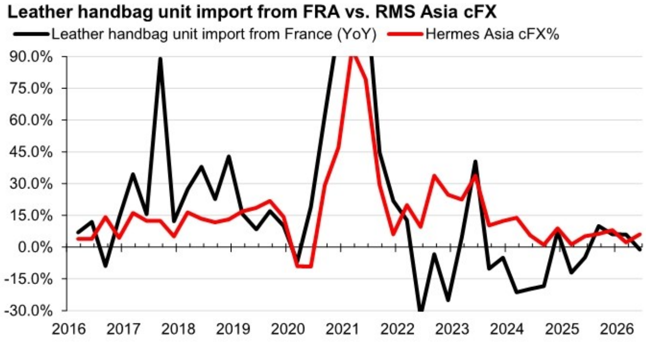
Source : GACC, Company data, Deutsche Bank
Note: This import figure includes both leather and non-leather handbags from France and Italy

Figure 7: Italian handbag imports are down sequentially -9.0% in units in Q2 vs. +6.3% in Q1



Source : GACC, Company data, Deutsche Bank
Note: This import figure includes both leather and non-leather handbags from Italy

Figure 8: French leather handbag imports are down -1.2% in units Q2 vs. +5.9% in Q1

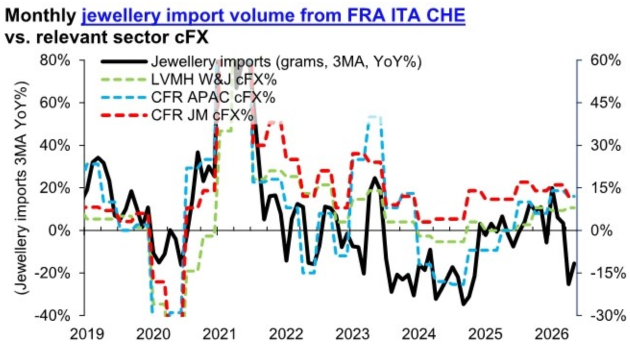


Source : GACC, Company data, Deutsche Bank

Jewellery

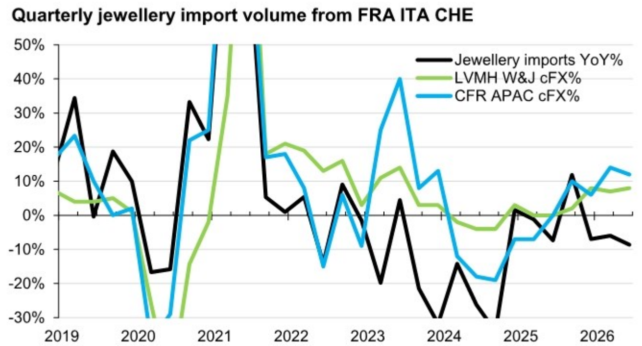
The headline data for 'Clothing and accessories' and 'Diamonds' imports available on the preliminary release does a moderately good job of tracking the relevant category cFX. However, we find that the jewellery data we track does a better job of tracking the quarterly volatility we see in the cFX data. We track imports of gold, platinum and diamond jewellery (in grams) from France, Italy and Switzerland.

Figure 9: Jewellery import is down -7% in May vs. -10% in April; it is down -15% in 3MA terms



Source : GACC, Company data, Deutsche Bank

Figure 10: 2Q26 down -8.6% vs. 1Q26 -6.0%

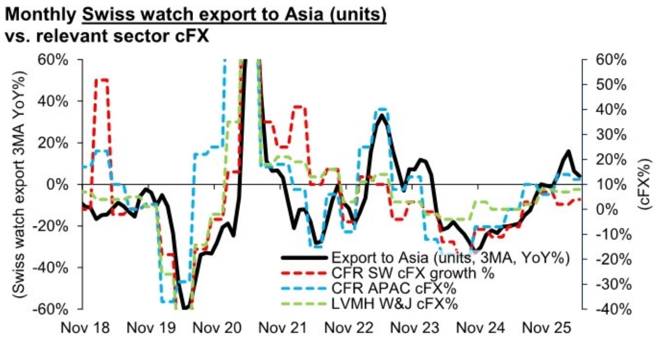


Source : GACC, Company data, Deutsche Bank

Watches

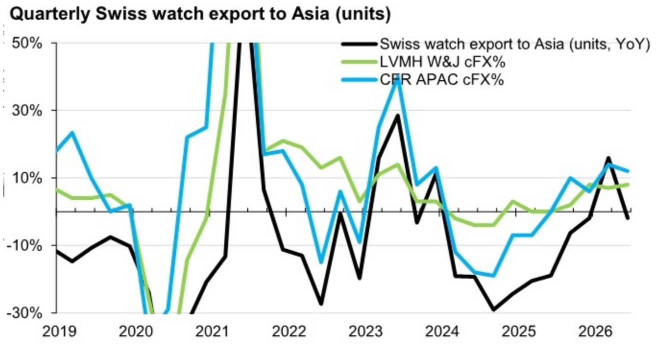
For watches, the official Swiss watch export data (FH) to Asia ex-Middle East has higher correlation with the relevant sector cFX. However, the publication schedule can vary depending on the month, making it difficult to compare against other categories for some months. On such occasions we substitute to total 'mechanical watch' import data, which tends to be more sensitive than the official Swiss data but in line with the FH data in terms of the direction of YoY change.

Figure 11: Swiss watch export to Asia +3% in May vs. -7% in April



Source : GACC, Company data, Deutsche Bank

Figure 12: 2Q26 unit import to Asia down -1.9% YoY vs. 1Q26 +15.9%

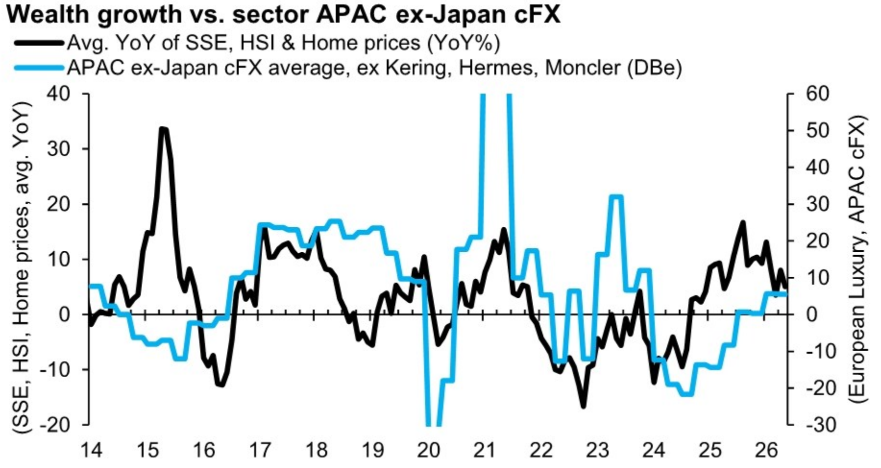


Source : GACC, Company data, Deutsche Bank

China consumer confidence and wealth growth

Discretionary spending environment remains suboptimal for luxury. Retail sales growth slowed down to -0.6% vs. +0.2% in April vs. an average of +3.3% during the months of Q1. Chinese consumer confidence continued to recover into April (latest available data) but at a slower pace. The measure was up +1.4% in April vs. +2.9% in March and +3.6% February. Household balance sheet remains under pressure with home prices down -4.8% vs. -3.9% in April and stock market returns slowing to +14.8% vs. +21.0% in April, all on YoY terms. The datapoints suggest the appetite for consumer discretionary spend remains fragile and requires more fiscal support.

Figure 13: Wealth improvement driven by stock market returns is slowing and may contribute to a slower recovery in luxury spend in China



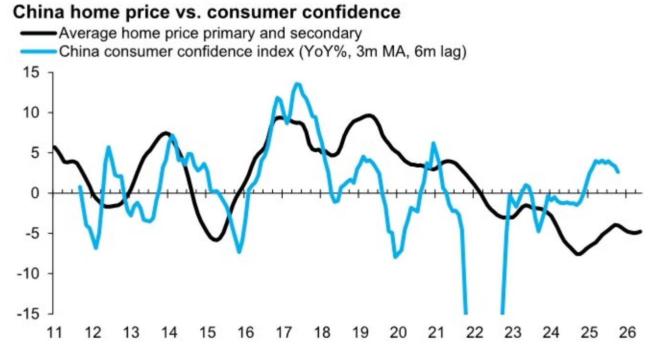
Source : Company data, Bloomberg Finance LP, Deutsche Bank Research
Note: SSE - Shanghai Stock Exchange; HSI - Hang Seng Index; We exclude Moncler from this analysis as we believe the stock is benefiting from its own exposure to the structural shifts in the Chinese Winter luxury market

Bridging consumer confidence vs. wealth growth

Figure 14: Consumer confidence declined in April vs. the months of March and February

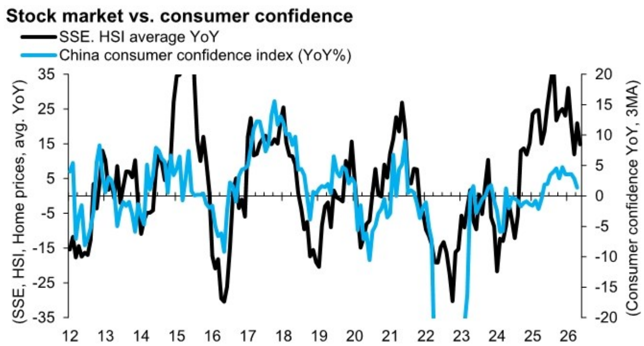
Source : NBS, Deutsche Bank
Note: Latest consumer confidence data as of April

Figure 15: Home prices were down -4.8% in May vs. -4.9% in April



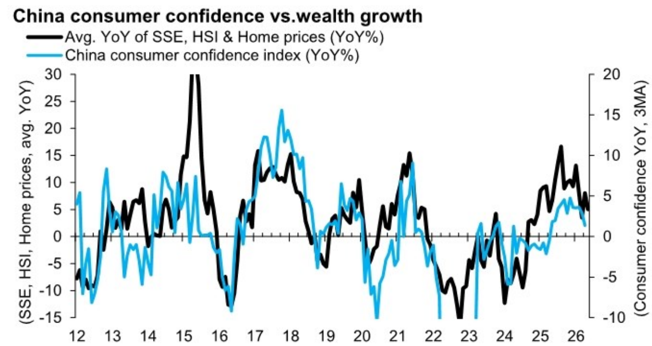
Source : NBS, Bloomberg Finance LP, Deutsche Bank
Note: Latest consumer confidence data as of April and home price data as of May

Figure 16: SSE and HSI up +15% YoY in May vs. +21% in April; down by c.-2% MoM in May



Source : NBS, Bloomberg Finance LP, Deutsche Bank
Note: SSE and HSI returns as of May; SSE - Shanghai Stock Exchange; HSI - Hang Seng Index; Consumer confidence data as of April

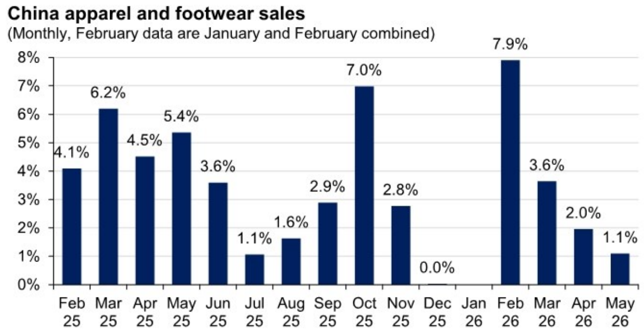
Figure 17: Set up for a stronger consumer confidence recovery looks weaker than what we saw in 1Q



Source : NBS, Bloomberg Finance LP, Deutsche Bank
Note: Consumer confidence data as of February; SSE - Shanghai Stock Exchange; HSI - Hang Seng Index

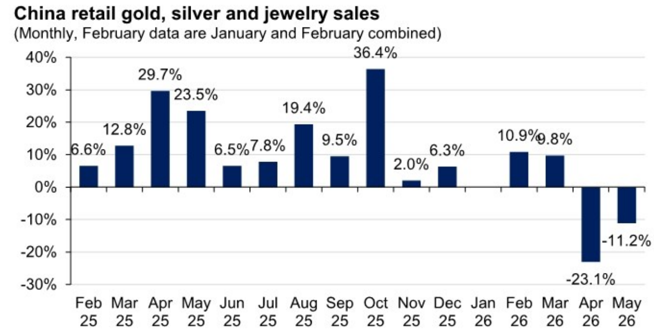
Discretionary spend environment

Figure 18: Weaker apparel and footwear sales growth in 2Q



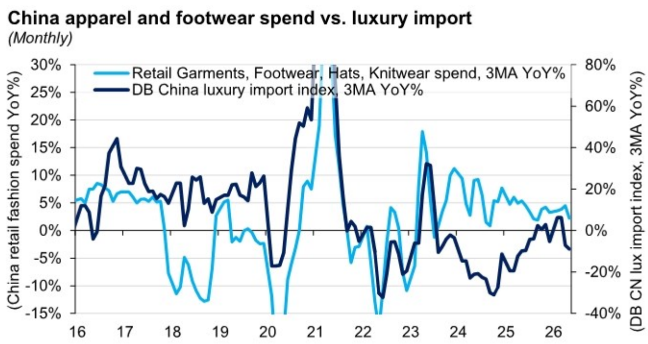
Source : NBS, Deutsche Bank Research
Note: Jan+Feb cumulative data is reported in February

Figure 19: Gold, silver and jewelry sales down -17% in Q2



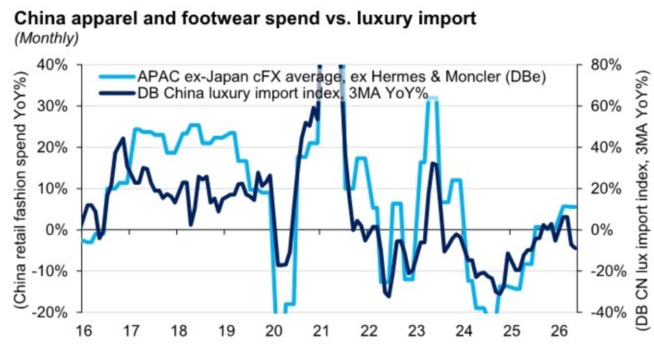
Source : NBS, Deutsche Bank Research
Note: Jan+Feb cumulative data is reported in February

Figure 20: Discretionary spending environment looks unfavourable for luxury recovery...



Source : NBS, Company data, Deutsche Bank Research

Figure 21: ...which may put pressure on luxury cFX recovery in the region



Source : NBS, Deutsche Bank Research

Appendix 1

Important Disclosures

*Other information available upon request

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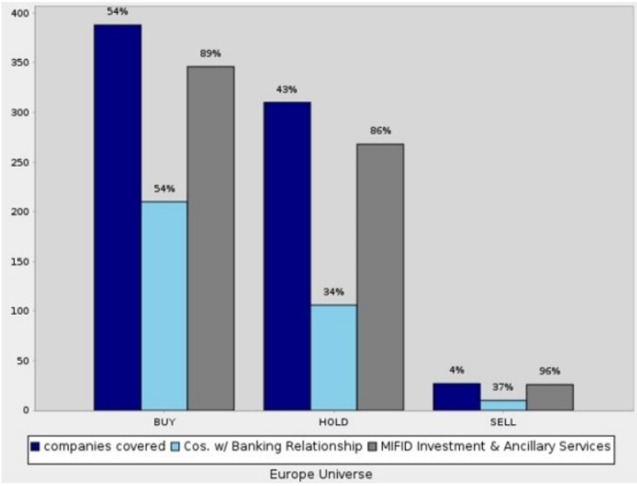
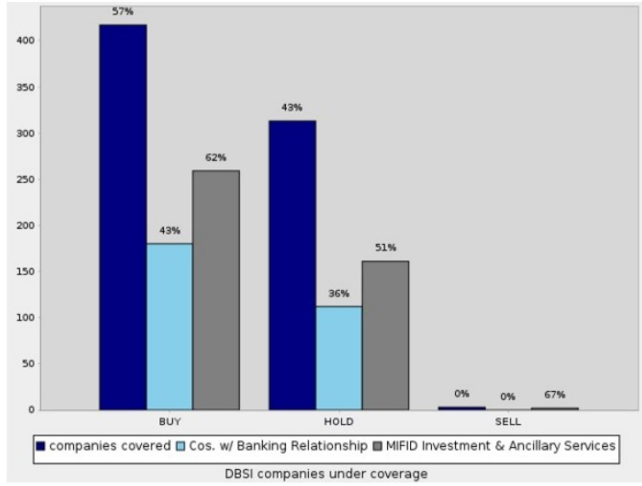
Equity rating dispersion and banking relationships





Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the “Cos. w/ MIFID Investment and Ancillary Services” bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold) recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the “Cos. w/ Investment Banking relationship” bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

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Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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David Folkerts-Landau
Group Chief Economist and Global Head of Research

Pam Finelli
COO and Head of Fixed Income Research

Steve Pollard
Global Head of Company Research and Sales

Jim Reid
Global Head of Macro and Thematic Research

Tim Rokossa
Head of European Company Research

Matthew Barnard
Head of Americas Company Research

Debbie Jones
Global Head of Sustainability and Data Innovation, Research

Robin Winkler
Head of German Macro Research

Sameer Goel
Global Head of EM & APAC Research

Francis Yared
Global Head of Rates Research

George Saravelos
Global Head of FX Research

Peter Hooper
Vice-Chair of Research

Nilendra de-Mel
Head of APAC & Middle East Product Development

International Production Locations

Deutsche Bank AG
Deutsche Bank Place
Level 16
Corner of Hunter & Phillip Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG
Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

Deutsche Bank AG
Filiale Hongkong
International Commerce Centre,
1 Austin Road West,Kowloon,
Hong Kong
Tel: (852) 2203 8888

Deutsche Securities Inc.
1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG
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London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

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The Deutsche Bank Center
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Deutsche Bank AG
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One Raffles Quay, South Tower,
Singapore 048583
TeL: +65 6423 8001